

Evaluating the Behavior of the Federal Reserve

Pascal Michailat
<https://pascalmichailat.org/w/>

Bernanke & Blinder (1992): VAR

- when $u \uparrow$ by 18 bp, FFR $\uparrow$ by 28 bp
- $\Rightarrow$ FFR $\uparrow$ by $28/18 \approx 1.6$ pp when $u \uparrow$ by 1 pp
- $\Rightarrow$ b/c u^* is so stable, FFR $\uparrow$ by 1.5 pp when $u - u^* \uparrow$ by 1 pp
- . close to 2 pp
- . consistent w/ optimal policy.

Stock & Watson (2001):

- on impact, FFR $\downarrow$ by 2 pp when $u \uparrow$ by 1 pp
- after 1 year, FFR $\downarrow$ by 3.2 pp & $u \uparrow$ by 1.5 pp
- $\Rightarrow$ FFR $\downarrow$ by $3.2/1.5 =$ 2.1 pp when $u \uparrow$ by 1 pp

Covid-19 tightening:



